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Short Writing Assignment #1
Psychology of Negotiation

Evaluating the Fairness vs Value of a Dispute in Bargaining

The Babcock et al. paper explores how self-serving biases in judgments of fairness can lead to bargaining impasses, demonstrating that when parties know their roles, their assessments of fairness and predictions of judicial outcomes diverge, which decreases the likelihood of settlement. The authors conducted an experiment showing that when subjects did not know their roles during the assessment phase, settlement rates increased significantly, with 94% of pairs reaching an agreement compared to only 72% when roles were known. The paper concludes that self-serving interpretations of fairness can obstruct negotiations, highlighting the importance of unbiased information processing in dispute resolution. While Babock et. al's experiment successfully demonstrated a causal link between self serving bias and nonsettlement, the idea that the sharing of more information in a settlement case causes diverging perceptions of fairness seems like an ambiguous claim. Instead, I'd like to pose the idea that it is not necessarily the *perception* of fairness that diverges, but the value of the dispute in both minds. To clarify, I think that an explanation of "fairness" in this study would be beneficial. If we think about fairness as a moral judgement then it seems plausible that someone's moral judgement in a settlement could stay somewhat consistent regardless of outcome: the defendant may believe it is fair to pay the plaintiff some amount of money and therefore, admit partial guilt, and the plaintiff may believe it is fair to receive money as they have been wronged. This conception of fairness need not change just because a monetary value is assigned at the end of a settlement. Instead, what changes is the perceived value of the dispute. This could be affected by legal fees, emotional energy, feasability of payment, etc. In other words, in order for the settlement to reflect what either party believes is fair, the dispute is centered on how much money should be exchanged. Notice that in this framing, fairness stays constant – it is still fair for the defendant to pay and plaintiff to receive. Given that a majority of participants in both cases (unknown and known roles) reached an agreement, it is safe to assume that a majority of pairs, regardless of role information, believed it was fair to settle given the information provided. Therefore, the lack of agreement for the 28 percent of participants in the known-roles scenario can be attributed to a value-of-dispute rathter than fairness disagreement.

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